

Trading Tactics

[Table 30.10](#) shows trading tactics.

Measure rule, targets. Use the measure rule to predict a target price. To use this, subtract the lowest low between the two highs from the highest peak in the pattern and then subtract the result from the breakout price (the lowest low between the two peaks). The result is the target price.

[Table 30.10](#) Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the pattern height from the lowest low between the two tops to the highest peak. Subtract the height from the lowest low. The result is the target price. The target must be above zero and represent a reasonable decline. Use Table 30.3 as a check. The bottom portion of this table shows how often the measure rule works.
Wait for breakout	Wait for a close below the confirmation price before selling.
Trade with market trend	For best results, short in a bear market.
Check others in the industry	To avoid 5% failures, check other stocks in the same industry and trade if they are showing topping patterns or if their stocks are falling.
Stop location	Consult Table 30.7 for guidance on stop placement.

Description	Down Breakout
Percentage reaching half height target	83%
Percentage reaching full height target	64%
Percentage reaching 2× height	37%
Percentage reaching 3× height	23%